

NVIDIA Corporation

NVDA NASDAQ

Buy	\$207.52 ▲ 0.11%	12M Price Target \$240.00	52-Week Range \$164.07 – \$236.54	Market Cap \$5.03T
-----	------------------	------------------------------	--------------------------------------	-----------------------

NVDA: Quiet Session, But Policy Setup Still Bullish

WHAT HAPPENED

- Barely moved today (+0.11%) on light volume — the 22M shares traded is a fraction of the usual 100M+, which tells me traders are on the sidelines waiting for something (probably earnings or a policy headline). This is a "pause" candle, not a reversal.
- Options flow is screaming bullish though — call buying is 2.4x put buying, and someone dumped \$13M into July \$207.5 calls at 6x the existing open interest. Translation: big money is betting on an upside move soon, likely into earnings.

WHY IT MATTERS

The stock is sitting at 60% of its 52-week range with a \$5T market cap — that's not "cheap" but it's not stretched either, especially given the options market is positioning for a breakout. The real story: while NVDA drifts sideways, Utilities (+1.81%) and Energy (+1.69%) are leading, which is actually a bullish tell for NVDA — utilities rally when the market prices in massive data center power demand, and that demand is coming from AI infrastructure NVDA sells the chips for. Meanwhile, that "EV industry collapse" headline is a reminder that capital is fleeing struggling tech themes and consolidating into winners — NVDA is the definitional winner. Watch for a break above \$210 to confirm the next leg up.

POLICY & POLITICAL WATCH

The big overhang right now is the ongoing U.S.-China chip export negotiation — the Trump administration has been oscillating on whether to let NVDA sell H2O and downgraded Blackwell chips into China, and every headline moves the stock 2-3%. The tailwind: the AI Action Plan executive orders from mid-2025 explicitly prioritize American AI dominance, which means federal contracts and export financing favor NVDA. Also watch the FY2027 defense authorization bill working through Congress — it contains ~\$15B for AI-enabled defense systems, and NVDA's platforms are the default hardware for almost every Pentagon AI contractor.

IS IT EXPENSIVE?

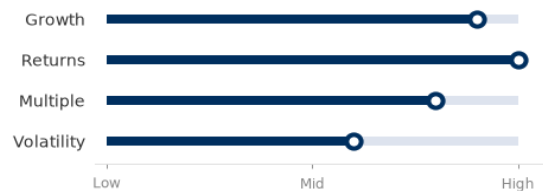
At roughly 35x forward earnings, investors are paying \$35 for every \$1 NVDA will earn next year — that sounds expensive until you remember earnings are still growing 40%+ annually, which makes the "PEG ratio" (price relative to growth) actually reasonable at under 1. Compared to AMD trading at similar multiples with half the growth, NVDA is arguably the cheaper stock on a growth-adjusted basis. The \$5T market cap is eye-watering, but if data center revenue hits the \$200B run-rate analysts expect by 2027, this multiple compresses naturally.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$207.52
12M Price Target	\$240.00
Upside / (Downside)	+15.7%
Market Cap	\$5.03T
FY2027E Revenue	\$235M
FY2028E Revenue	\$290M
FY2027E EPS	\$5.85
FY2028E EPS	\$7.40
Fwd P/E	35.5x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$225.00	\$212.00	\$195.00
6 Months	\$250.00	\$225.00	\$180.00
1 Year	\$275.00	\$240.00	\$170.00
2 Years	\$340.00	\$280.00	\$160.00
5 Years	\$500.00	\$380.00	\$180.00
10 Years	\$800.00	\$550.00	\$200.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Utilities and Energy — both are second-derivative AI plays. Data centers need power, power needs generation, generation needs fuel. The market is figuring out that AI infrastructure spending is a multi-sector tailwind, not just a tech story.

COOLING OFF: Industrials (-0.45% over 5 days) and EV names (that \$91B to \$2.3B collapse headline) — capital is abandoning capital-intensive stories without clear near-term returns.

ROTATION WATCH: Money is rotating from speculative growth (EVs, small-cap tech) into "AI-adjacent hard assets" like utilities and energy. That's actually bullish for NVDA because it means institutions are increasingly convinced the AI capex cycle is real and durable.

RELATED PLAY: The power infrastructure angle — Vistra (VST), Constellation (CEG), and GE Vernova (despite today's slide) are direct beneficiaries of the same data center buildout driving NVDA. Also watch data center REITs like Equinix (EQIX) and Digital Realty (DLR).

WHO'S WINNING IN THIS SPACE?

- SMCI (Super Micro Computer): Spiking today per the IBD headline — they build the servers that house NVDA chips, so their strength confirms enterprise AI demand is still robust.
- MRVL (Marvell Technology): Custom silicon for hyperscalers, growing fast — the 24/7 Wall St. bull piece signals sentiment is warming on adjacent chip names.

NVDA CONTEXT: NVDA is lagging its ecosystem today (SMCI spiking while NVDA drifts flat), which is unusual but not alarming — it typically means the market is pricing infrastructure suppliers on near-term orders while NVDA waits for its own catalyst (earnings). Historically when SMCI runs and NVDA lags, NVDA catches up within 2-3 weeks.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 5-8% of portfolio

Entry Points: \$195-205 on macro pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: China export restrictions widen to full ban, or hyperscaler capex guidance cut >15%

Hedging: Buy puts 10% out of the money, or pair with a short position in a smaller AI chip competitor